



Financial Institutions & Markets- ENT 309

PPT #1, IITD, Summer, 2026



Hello!

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Course Agenda

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- Why study financial markets? Overview
- Fundamental of Financial Markets: Interest Rates & their role in valuation, Level of interest rates & Theory, Structure of interest rates
- Fundamentals of Financial Institutions: Why do they exist?
- Central Banks & Conduct of Monetary Policy
- Financial Markets: Money Market, Forex Market, Bonds Market & its Dynamics
- Financial Institutions, their activities & regulations

Grading



- **Class Code: sov5zene**
- Two Quizzes. 10 X2 = 20
- One Mid Term. 25
- One End Terms. 35
- One Project (Group of 5) 20.
- Attendance – Not Marked
- Class: Tues & Thurs: 845-12 noon.



Books For Reference

- FINANCIAL INSTITUTIONS, MARKETS, AND MONEY by David S. Kidwell, David W. Blackwell, David A. Whidbee, Richard W. Sias. WILEY
- FINANCIAL MARKETS & INSTITUTIONS by Frederic S. Mishkin, Stanley G. Eakins. PEARSON
- FUNCTIONS & WORKING OF RBI: Reserve Bank of India publication
- Other readings as shared

Financial Institutions & Markets: An Overview



Why Study About Financial Institutions & Markets?



Rupee falls to record low of 96.25 against U.S. dollar

The rupee opened at 96.19, then fell further to 96.25 against the U.S. dollar, registering a fall of 44 paise from its previous close

Published - May 18, 2026 10:31 am IST - Mumbai

- Forex traders said higher crude oil prices, a stronger U.S. dollar, and ongoing geopolitical tensions have together created a difficult environment for emerging market currencies, and the rupee is now clearly reflecting that stress.
- However, the encouraging sign for markets is that both the government and the RBI have already started taking proactive measures to manage the situation.
- The government, on May 13, hiked import duty on precious metals - gold, and silver - from 6% to 15%.
- Meanwhile, India's forex reserves jumped by \$6.295 billion to \$696.988 billion during the week ended May 8, the Reserve Bank said on Friday (May 15, 2026).

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- Would you be happy if you were running an IT company?
- Would you be happy if you are planning to go abroad for education?
- We know why the crude oil prices are high. But why is the USD becoming stronger?
- What can RBI do about it? Why should it intervene?



[Home](#) / [Markets](#) / [News](#) / Warning signs from India's bond market and why they're miffed

Warning signs from India's bond market and why they're miffed

Since the start of the West Asia crisis, 10Y sovereign yields have risen by more than 50 bps across several advanced and emerging markets, including Japan, UK, US, Canada, Italy, Spain and South Korea

India's bond yields have seen a one-way move in the last twelve months, with the benchmark 10Y g-sec yield rising by almost 90 basis points (bps) since May 2025. None of the headline drivers would have predicted this.

Over the last twelve months, the repo rate and the cash reserve ratio (CRR) saw a cumulative reduction of 75 bps and 100 bps, respectively. This was accompanied by Reserve Bank of India's (RBI's) infusion of Rs 9.8 trillion in durable liquidity via open market operations (OMO) purchases and forex (FX) Swaps. On the fiscal front, the central government continued to send the right signal by sticking to the path of consolidation despite the provision of substantial tax relief via Income Tax reduction and GST rationalization.

What explains the hardening in Indian bond yields then?

Warning signs from India's bond market and why they're miffed



Since the start of the West Asia crisis, 10Y sovereign yields have risen by more than 50 bps across several advanced and emerging markets, including Japan, UK, US, Canada, Italy, Spain and South Korea

- What is 10Y sovereign yield?
- Why is it rising across different countries?
- Why is RBI getting involved? How will reduction in repo rate and CRR help?
- What is OMO?
- What is Forex Swap?
- Why are Indian bonds under stress?
- Is it a good time to buy a bond?



Muthoot Finance plans floating-rate bond issue of Rs 2,000 cr

Muthoot Finance plans to raise ₹2,000 crore next week. The company will issue three-year floating-rate bonds. These bonds are linked to the 91-day treasury bill. This move allows Muthoot Finance to avoid high fixed borrowing costs. Floating-rate bonds are gaining popularity as interest rates are expected to rise.



Rozebud Gonsalves • ET Bureau
Published On May 21, 2026 at 08:16 AM IST



Why is Muthoot choosing NCDs and Vodafone a bank loan?

Business Standard

Friday, May 22, 2026 | 10:25 AM IST

Vodafone Idea closing ₹35K crore SBI-led funding 'very fast': CEO

Vodafone Idea expects to close talks with an SBI-led consortium soon after promoter equity infusion and AGR relief improved its financial position

On Saturday, the company had said that the Aditya Birla group will infuse ₹4,730 crore into Suryaaja Investments — a Singapore-based entity of the group — through preferential issue of up to 4.3 billion warrants. About 25 per cent of the ₹4,730 crore will be given upfront and the rest

Financial Markets



- Goods Market
- Services Market
- Financial Market

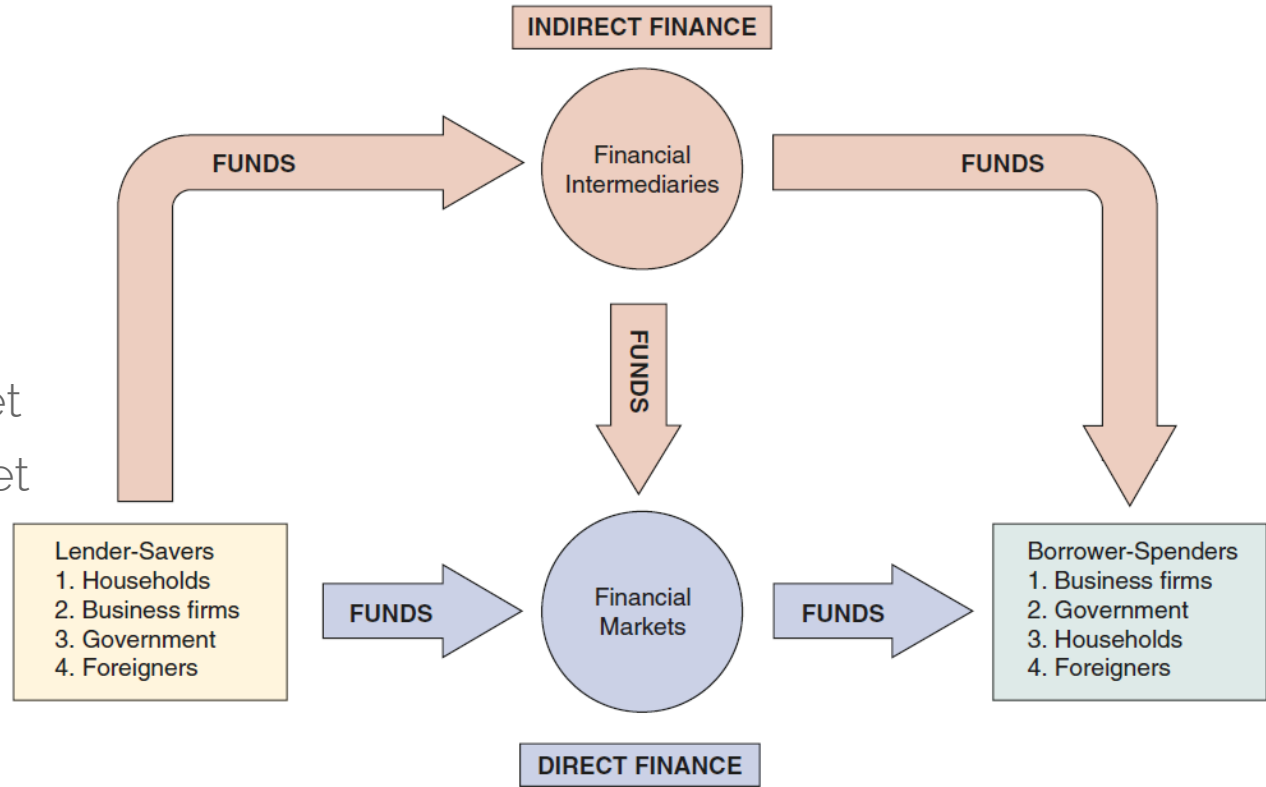


FIGURE 2.1 Flows of Funds Through the Financial System

Function of Financial Markets



Function: Fin Mkts

- These markets help companies or individuals to raise funds
- Direct Finance: Examples?
- Indirect Finance: Examples?
- Critical for **efficient** allocation of capital for higher production
- Efficient financial markets improve economic welfare of everyone in the society
- Security: A **claim** on the future income or assets of the issuer.

Financial Markets: Structure



Debt Markets

- Borrower issues a 'fixed-income' instrument ex. Bond
- Contractual Agreement
- Interest is the cost of borrowing, rent paid for funds
- Makes periodic payments: Coupon or Instalment/ interest only or interest + principal
- Makes a payment at the expiry/maturity of the agreement
- Maturity of the instrument: Number of years before expiry
- Maturity of 10 years or longer: Long term
- Less than one year: Short term. Else intermediate term



Equity Markets

- Equities are a share in ownership of the company
- Have claim to share in business and the assets
- Periodic payments: Dividends. Guaranteed or optional?
- Maturity of equity?
- Who gets a share in profit? E or D?
- Who gets paid first – E or D?
- Size of bond market: India: \$3 trillion/ USA: 55 trillion
- Size of equity market: India: \$4.7 trillion/ USA: 70 trillion



Foreign Exch Mkts

- Market to exchange money to move funds from one country to another
- What does appreciation/depreciation of INR wrt USD mean?
- Is appreciation/depreciation of INR bad?
- If INR appreciates, who is happier- Importer or exporter?

Primary & Secondary Mkts



- Primary Mkt: New issues of bonds or equity shares are sold to individuals or companies by issuers.
- The funds go to the issuer.
- Secondary Mkt: Securities previously issued in primary market are bought & sold. No role of issuer in these transactions.
- Sec Mkts make securities more **liquid**
- Prices in secondary market help companies price issues in primary market



Money & Capital Mkts

- Difference in **Maturity** of **Securities** traded
- Money Mkt: Debt instruments. Maturity < 1 year.
- Capital Mkt: Longer-term debt and Equity



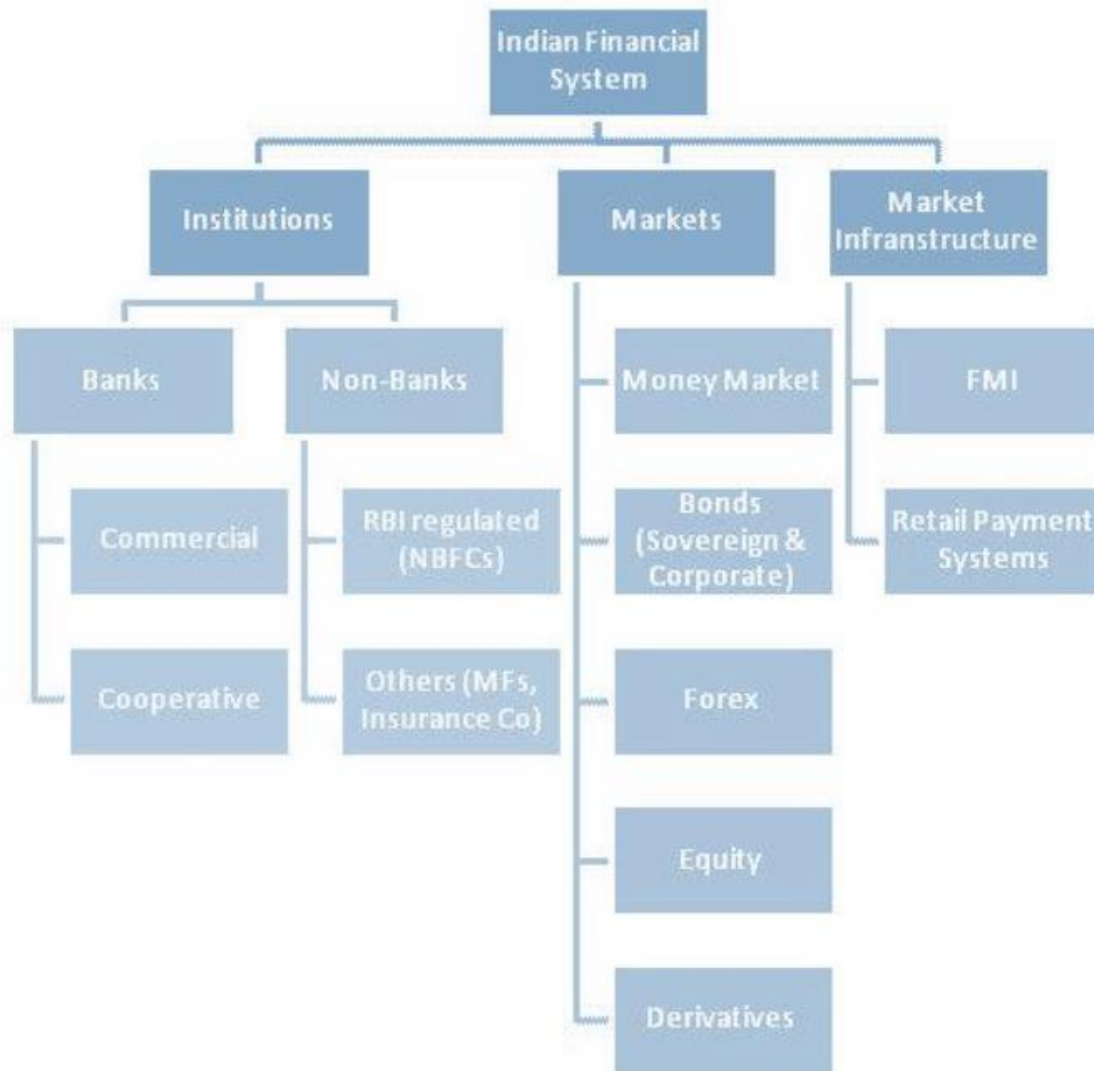
Internationalization of Financial Markets

- Can an Indian company issue bonds in USA? Europe?
- Can you buy equity shares in stock market of other countries ?
- Can foreigners buy stocks in India?
- What is FDI? Who are FPIs?



Indirect Finance

- Happens through Financial Intermediaries like banks, NBFCs, MFs etc.
- Take money from savers and lend to borrowers
- Indirect Finance is a very important sourcing of financing as compared to Direct finance.





Role of Fin Institutions

- Intermediation:
 - Route savings to borrowings/ investments/ consumption
 - Provide linkages across time periods
- Diversification
 - Risk sharing
- Increase Efficiency
 - Provide 'expert advice'
 - Economies of Scale & Scope
- Provide Trust/ Security

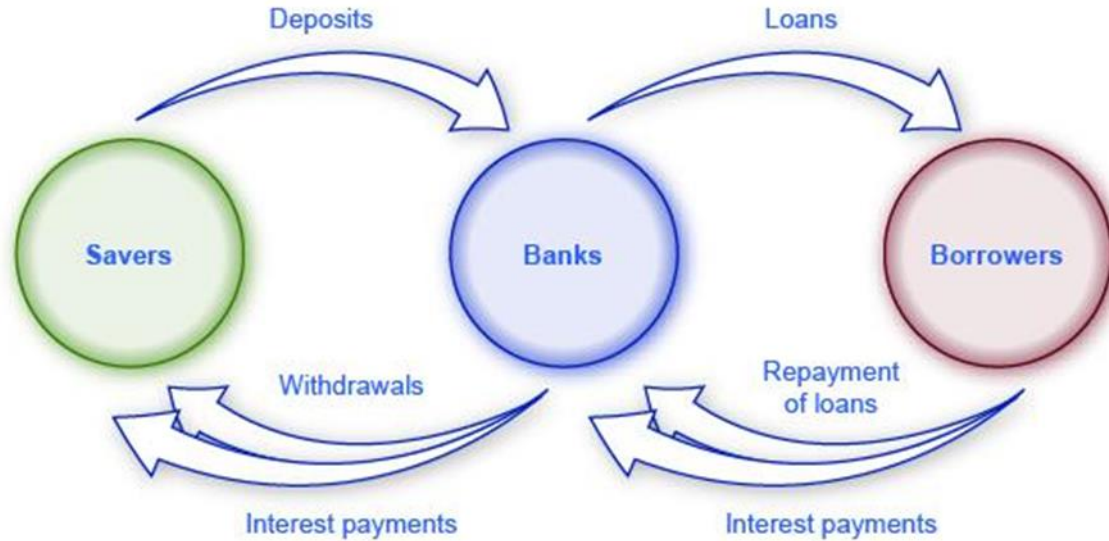


Why Intermediation?

- One to one mapping not possible all the time
- Information Asymmetry
 - Lending/ IPO/ Insurance/Used Car Market
- Information Asymmetry leads to
 - Adverse Selection
 - Moral Hazard



How Intermediation?



Operational Flow Chart



INVESTOR

Investors invest in the schemes and receive units for the amount invested

SCHEME

Schemes act as a pool of investment from different investors, managed by fund manager.

FUND MANAGER

The Fund manager invests in securities as per the mandate and actively manages the same

SECURITIES

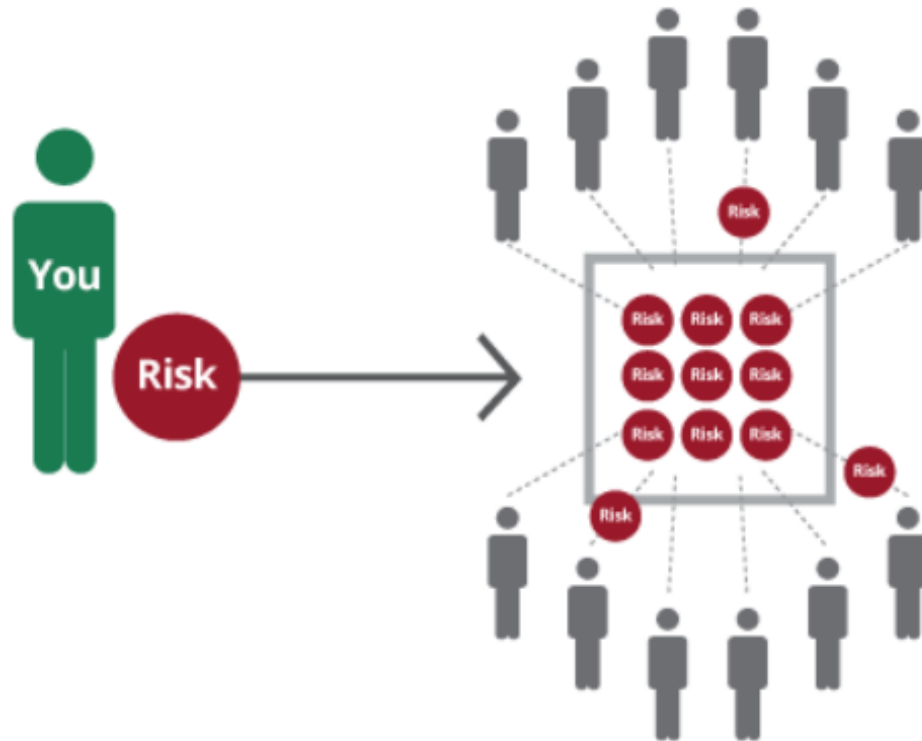
The securities generate returns based on the market performances & the weights of the securities determine the returns of the fund

RETURNS

The returns are paid to the investor in the form of capital appreciation/dividends depending on the option of the scheme

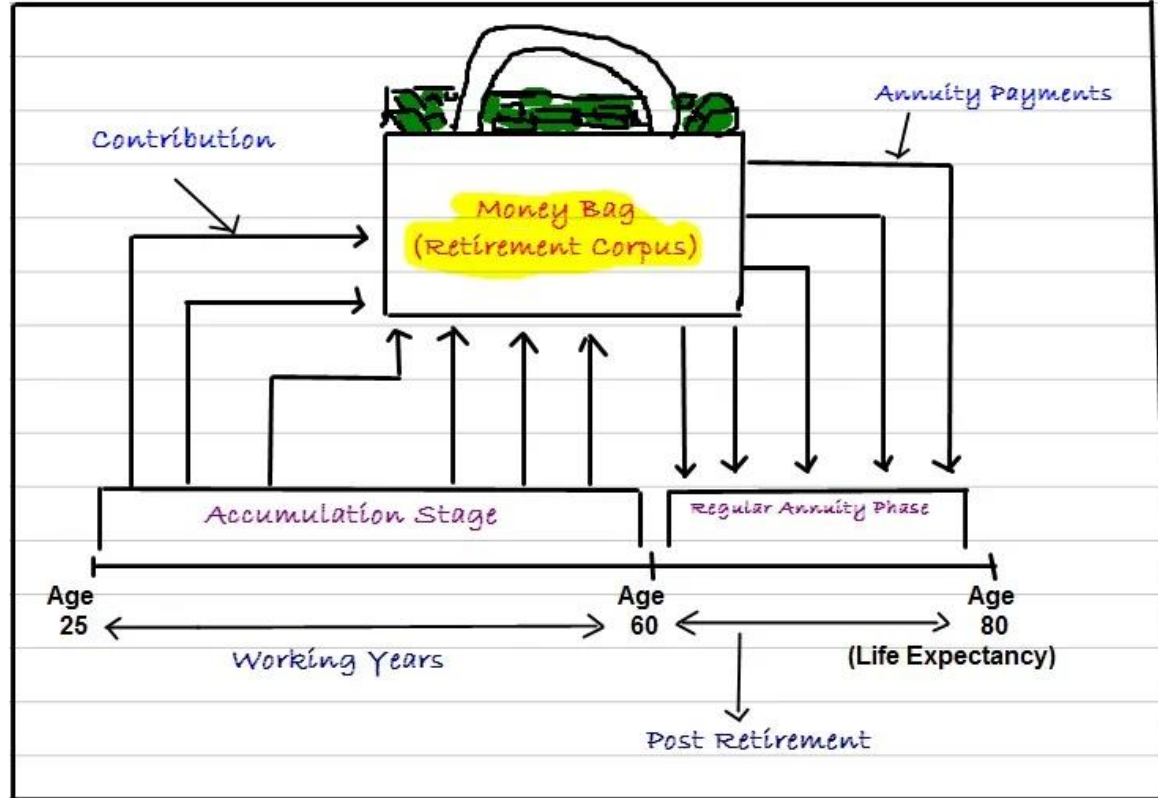


How Diversification?





How Diversification?





Increase Efficiency

- Expert Advice/Reduces Search Costs. MF, Insurance, Fin Planning
- Economies of Scale: At large volumes, per unit cost reduces
- Economies of Scope: Cross-Sell using existing relationship
- Facilitate Legal Contracts: Bank statement as proof of transaction
- Enable transfer of large amounts of money



Provide Trust

- Role of Regulations
- Deposit Insurance
- Customer Grievance Redressal
- Underwriting of IPOs/real estate projects



Regulators

- RBI
- SEBI
- IRDA
- PFRDA

- Support Organizations



Thank You!